

Fundamentals of Accounting (AF 1001)

(All sections BBA, BSAF,
BSBA, BFT)

Sessional-II Exam

Total Time: 1 Hour

Total Marks: 35

Total Questions: 3

Date of Exam: 5 November 2025

Course Instructor(s)

Dr. Mian Muhammad Atif	Mr. Rashid Minhas
Ms. Saleena Gul	Mr. Azam Saleem
Ms. Ghulam Fatima	Mr. Haris Khalid
Mr. Mubeen Ajmal	Mr. Touseef Ahmad
Ms. Saniya Asif	
Mr. Rizwan Hassan	
Mr. Amir Gill	

Shaban Akhtar

Student Name

256-5575 BSCEFC

Roll No

Section

Shaban

Student Signature

Instruction/Notes:

1. Attempt all questions. Read the question carefully, understand the question, and then attempt it.
2. Present your answers clearly. Marks may be lost for untidy work.
3. Marks will be awarded for proper layout.
4. Enter your roll number in the space provided above and return the question paper along with the answer booklet.
5. You are not allowed to ask any questions from the invigilator regarding the paper. If in doubt, make and list assumptions and carry on
6. Show all workings
7. Calculator sharing is strictly prohibited.
8. Use permanent ink pens only. Any part done using soft pencil will not be marked and cannot be claimed for rechecking.

CLO 2: Define basic accounting terminologies (BT: Understand)

Question 1 (6 marks)

Ahmad Ali, the owner of a small business knows nothing about the use of accounting concepts in preparing financial statements. You, as an accountant, have been asked to briefly explain the following accounting concepts to Ahmad and also give an example of the case where you think each of these concepts is applied in his financial statements.

- (a) Prudence
- (b) Matching
- (c) Going concern

CLO 7: Post adjusting and closing entries (BT: Evaluate)

CLO 9: Prepare balance sheet and income statement of a sole trader business (BT: Apply)

Question 2 (17 marks)

From the following trial balance of Arshad Ali after his first year's trading, you are asked to **draw up an income statement for the year ended 31 March 2025, along with balance sheet as at that date.**

	Dr	Cr	
	\$	\$	
Sales		23,414	✓
Purchases	16,111		✓
Capital		40,000	
✓ Accounts receivable	6,139		
✓ Accounts payable		5,645	
✓ Bank	3,765		
✓ Cash in hand	129		
✓ Premises	27,000		
✓ Fixtures and fittings	7,500		
✓ Equipment	4,000		✓
✓ Wages	1,900		✓
✓ Motor vehicles	279		
✓ Commission Received		120	
Drawings	1,400		
Sundry expenses	456		✓
Rent	500		✓
	69,179	69,179	

Additional information:

- (i) Inventory as at 31 March 2025 was \$4,344 ✓
- (ii) Prepaid rent at 31 March 2025, amounted to \$100 ✓
- (iii) Unpaid wages at 31 March 2025, amounted to \$150 ✓

CLO 4: Demonstrate the use of double entry accounting (BT: Apply)

Question 3 (12 marks)

Show journal entries **(with narratives)**, necessary to correct the following errors:

- (a) Sale of goods for \$250 to Azam entered in the account of Azeem
- (b) Advertising expenses of \$132, paid by cheque, was entered in both accounts as £123
- (c) Extra capital of \$2,000 paid into the bank was credited to a loan account by mistake
- (d) Cash paid \$46 for electricity was debited to the cash account and credited to the electricity account
- (e) Purchase of inventory on credit for \$300 had been completely omitted.
- (f) Private withdrawal of \$150 cash had been debited to Sundry expenses account